# CONVENTIONS OF ACCOUNTING

## Conservatism

- Expected losses are recorded immediately.
- Expected profits are not anticipated.

## Materiality

- Only significant items are recorded and reported.
- Insignificant transactions are ignored for simplicity

## Consistency

- Same accounting methods are followed every year.
- Ensures comparability of financial statements

## Disclosure

- All relevant financial information is disclosed.
- Information is shown through accounts, notes and reports.

(Prof. Kishan Jani)
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